

Global Economic Weekly

AI, Iran war and K-shaped economy: are they connected?**Global Letter: AI, Iran war and K-shaped economy: are they connected?**

What is the connection between the AI boom, the Iran war and the K-shaped consumption dynamics most prominent in the US? Do they reinforce each other? What can go wrong? What do we need to watch? We argue that they are connected, they do reinforce each other, they open the door to multiple equilibria and depend heavily on the persistence of excess global liquidity. In other words, any shock that could tighten global liquidity represent a relevant threat to these positively reinforcing dynamics. Watch for oil inventories, productivity gains, inflation and upcoming IPOs.

US: Supply is similar, demand is different

The current environment shares many similarities to 2022. Like then, we are facing a negative supply shock that has fueled supply-chain pressures and higher input costs. Unlike 2022, inventories are better positioned, goods demand is cooler, the labor market is balanced, and fiscal policy has not been as expansionary. Therefore, while inflation may materialize higher than we currently forecast, we do not anticipate a spike to 9.0%.

Euro area: ECB preview – starting a short hiking cycle

The ECB is likely to deliver the well flagged 25bp hike across policy rates next week. Communication changes are likely to be small, maintaining an implicit hiking bias. We expect one more hike. Forecasts might leave the door open for a bit more.

UK: Bit by bit

Another MPC member argues that case for hikes is growing. But this urgency is not there in majority of the committee yet. A June hike is unlikely, and data/ persistence of shock would need to push them to hike in July. Base case is for hikes in July/ Sept with risks of one and delays.

China: Recent import surge hardly a sign of rebalancing

Chinese goods imports have rebounded sharply this year, rising 24% yoy Jan-Apr and now outpacing exports, reversing last year's pattern. But the pickup is largely price-driven and narrowly concentrated in select categories, especially in semi chips and gold.

Emerging EMEA: S.Africa – Necessity of Fiscal Anchors

Nominal GDP growth is likely to be in the 4-5% range over the medium term, compared with historical highs of close to 7%. In fiscal year 2025/26, the primary surplus is 1.1%, so would require at least 1.5% of GDP each year over the medium term.

Latin America: Mexico – Stability holds, growth lags

Mexico's economy remains broadly stable, with no clear macro imbalances and only small current account (CA) and primary fiscal deficits. This reflects a long-standing policy preference to preserve macro discipline. However, growth has been persistently weak.

05 June 2026

Economics
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Global Letter

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AI, Iran war and K-shaped economy: are they connected?

What is the connection between the AI boom, the Iran war and the K-shaped consumption dynamics most prominent in the US? Do they reinforce each other? What can go wrong? What do we need to watch? We argue that they are connected, they do reinforce each other, they open the door to multiple equilibria and depend heavily on the persistence of excess global liquidity. In other words, any shock that could tighten global liquidity represent a relevant threat to these positively reinforcing dynamics. Watch for oil inventories, productivity gains, inflation and upcoming IPOs.

The AI boom can continue if the Iran war doesn't derail it

The impact of AI on equity valuations is often over-simplified: either valuations are consistent with fundamentals or there is a bubble. However, that characterization can be misleading, we think. The AI-driven productivity shock creates labor savings that are appropriated by companies through higher profits, both current and expected. This creates a redirection of savings towards higher income brackets that have higher propensity to save. Those savings end up bidding up asset prices, in particular of those companies that lead the AI race, validating those valuations in turn. These higher valuations increase the expected return of investment in AI, creating a positive feedback loop between asset prices and investment.

The AI boom not only triggers higher investment and asset prices. Since aggregate consumption is mostly driven by higher and middle income brackets, consumption dynamics remain strong despite the increase in energy prices caused by the Iran war as higher income brackets have more cushion to absorb the shock.

Unless there is massive escalation or a quick rundown of inventories that trigger a non-linear increase in energy prices, the market will continue trading comfortably the expectation of a quick deal before oil inventories rundown, which means the positive feedback can only be derailed either by a higher than expected inflation dynamics or a disappointing outcome of the upcoming IPOs.

The current Iran war's equilibrium can be sustained if the AI boom continues

As we have elaborated extensively, the US seems to be pushing hard for a quick deal with Iran to normalize traffic in the Strait of Hormuz while negotiations on core issues continue. The perception is that a quick deal can only be achieved if being favorable to Iran, which seems to be unacceptable for some of Iran neighbours in the Middle East. This is why a deal has not been achieved yet, but the US administration works hard to convince (successfully so far) the market that a deal is around the corner.

Why the AI boom helps? As long as the economy remains relatively resilient, it improves the bargaining power of the US vis a vis Iran for negotiating a solution to the Middle East conflict but also vis a vis China from a broader geopolitical perspective. The AI boom gives more room of maneuver to continue kicking the can down the road. In other words, it reduces the marginal cost of negotiating with Iran, which also faces relatively low marginal cost of continuing negotiating. A spike in energy prices or a more persistent inflation in the US can change the status quo, as well as a correction in the stock market that triggers a slowdown in consumption and investment.

K-shaped dynamics are the feedback mechanism

The K-shaped dynamics of consumption, more prominent in the US, is the endogenous outcome of the interaction of the AI boom and the so far relatively low economic impact of the Iran war. The income inequality generated by the AI boom, where the share of



labor in national income falls relative to capital is a blessing in disguise to absorb the negative shocks associated with the war.

However, it needs to be fed with further increases in asset prices and improvements in productivity to justify sustainable rate of growth given that the tightening in immigration puts a natural cap on labor income growth absent those productivity gains.

Excess global liquidity is the hidden driver

But interestingly, the stock market is making new highs not only in the US but globally. Countries like Korea or Taiwan, that benefit from the AI boom as they play a critical role in the global supply chain, continue growing fast, amassing significant current account surpluses, but witnessing their currencies to depreciate in real terms vs the dollar. Why? Despite strong growth, there are not enough domestic assets to park those massive savings, which need to be recycled back to the US. That explains in part the co-movement in equity prices.

But that is not the whole story. More broadly, as we have discussed extensively in our year ahead report, there is too much liquidity chasing too few assets. And we can see how this excess global liquidity materialize in increasing leveraged positioning, in particular in the US.

We have been making the case that the US economy didn't need easier monetary policy before the Iran war started, when the market was pricing in 2 cuts and the Fed was comfortable validating that view. Asset prices inflation and a boom in private credit are hard to come by when liquidity is tight and our view was that financial conditions were pretty loose, both in the US and globally, before the war.

Now the consensus narrative is that the Fed should not cut and should even hike rates because of the recent inflation dynamics attributed to the Iran war. That is not the reason why the Fed should be mindful of inflation dynamics, because at the end a supply shock can be looked through.

The reason is more structural in our view: inflation has been persistently high and above the target for too many years to simply blame a sequence of supply shocks. It is the underlying inflation that should be a source of concern for the Fed, not the energy shock per se. Arguing that food and energy can be more persistent than what supply shocks might dictate is another way to say that there has been too much monetary and fiscal stimulus over the last few years and that excessive ease of financial conditions need to be addressed.

Any shock that tightens global liquidity can trigger a downward spiral

If asset prices are driven by the reinforcing mechanisms of excess global liquidity and the AI boom, any shock that tighten global liquidity or AI-related valuations and investment can create a correction in asset prices that will directly feed into the economy through the now well known K-shaped dynamics. If inflation dynamics force the Fed to hike aggressively and/or bond vigilantes ask for higher risk premia to hold US bonds, real rates can derail the AI boom, which can be consistent with somewhat high real rates as we currently have in the market, but not a significant repricing.

On the Iran war, a key variable to monitor is the evolution of energy inventories. The general perception and imperfect data that can be gathered indicates that we can go another few more months with the current status quo in the Strait of Hormuz without creating meaningful non-linear dynamics. On the AI boom side, it seems the market will remain robust through the IPO season. Those are two important variables to monitor: a non-linear increase in energy prices can feed into an already very persistent inflation dynamics. A disappointing IPOs outcome can impact asset prices in a way that if accompanied by still high inflation can limit the Fed's room of maneuver to accommodate the financial shock.

US

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Shades of 2022 but not a repeat

- The current environment shares many similarities to 2022. Like then we are facing a negative supply shock that has fueled supply-chain pressures and higher input costs.
- Unlike 2022, inventories are better positioned, goods demand is cooler, the labor market is balanced, and fiscal policy has not been as expansionary.
- Therefore, while inflation may materialize higher than we currently forecast, we do not anticipate a spike to 9.0% y/y, like in 2022.

Complete report: [US Economic Weekly: Shades of 2022 but not a repeat 05 June 2026](#)

First comes energy then comes pass-through inflation

The Iran war has contributed to the recent surge in CPI inflation, particularly headline, which rose to 3.8% y/y in April (see: [US Watch: April CPI inflation: Core concern 12 May 2026](#)). The immediate impact of the conflict has been seen in energy prices. In April, energy goods surged by 29.2% year-over-year, contributing 0.9 percentage points to headline inflation. Additionally, airfares increased by 5.6% over the two months ending in April, a rise linked in part to higher jet fuel prices.

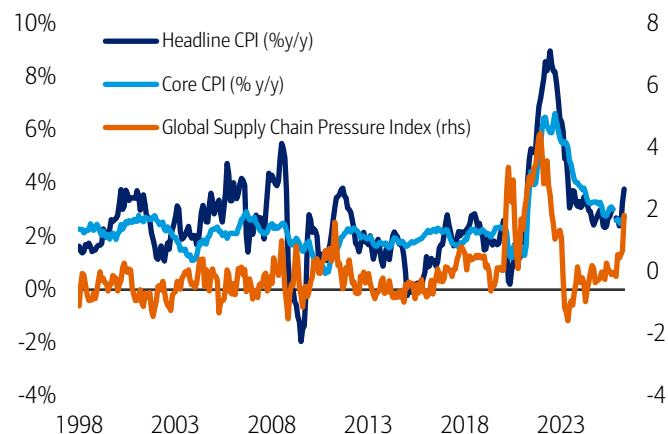
Beyond airfares, there is little evidence of pass-through to core inflation so far. However, numerous indicators suggest that this pass-through is likely to occur soon, raising concerns that inflation may repeat the pattern observed in 2022.

Supply chain pressures: echoes of 2022

There are many warning signs that captured the inflation surge of 2022 and are flashing red today. The Global Supply Chain Pressure Index has jumped from 0.55 in February to 1.82 in April, its highest level since 2022 (Exhibit 1). This measure proved to be a reliable leading indicator of the most recent inflation spike. Increases in producer and import price indices also signal rising input cost pressures. Additionally, earnings transcripts have shown a large rise in mentions of material costs, and more modest upticks in mentions of supply-chain disruptions and inflation (Exhibit 2).

Exhibit 1: Supply chain pressure is building again, which doesn't bode well for inflation

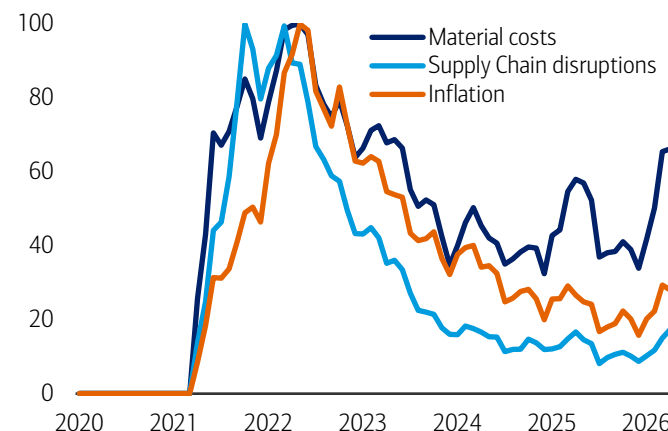
PCE inflation vs Global Supply Chain Pressure Index



Source: Federal Reserve Bank of New York, BEA. Note: The Global Supply Chain Pressure Index (GSCPI) is an index normalized such that a zero indicates that the index is at its average value with positive values representing how many standard deviations the index is above this average value (and negative values representing the opposite).

Exhibit 2: Earnings transcripts flag rising material costs, inflation and supply chain disruptions

S&P 500 Earnings Transcripts mentions (100= Maximum of sample, 3m moving average)



Source: Bloomberg

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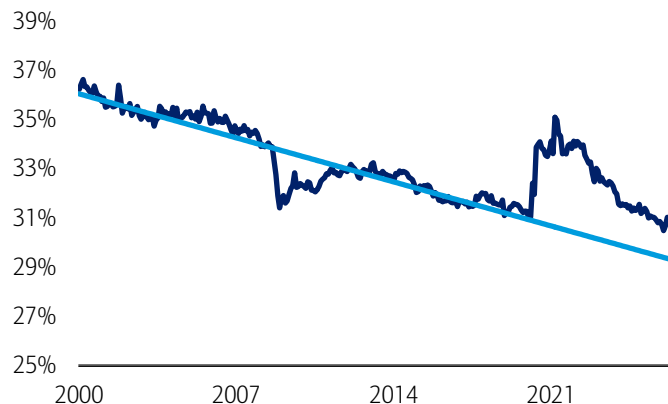


But demand, labor and fiscal look very different today

That said, there are important differences from 2022. First, goods demand was elevated owing to expansionary fiscal policy, restrictions on service activities and work-from-home policies. This led to a spike in the goods share of overall consumption, which has largely normalized today (Exhibit 3). Strong demand coupled with supply chain issues led to shortages of goods during the pandemic era, which gave firms pricing power (Exhibit 4). Today both the share of spending on goods and inventory levels have largely normalized. Therefore, we think firms have less pricing power today than in 2022.

Exhibit 3: Spending on goods spiked during the pandemic but has normalized in recent years

Goods consumption (% of total consumption) vs. 2000-2019 trend

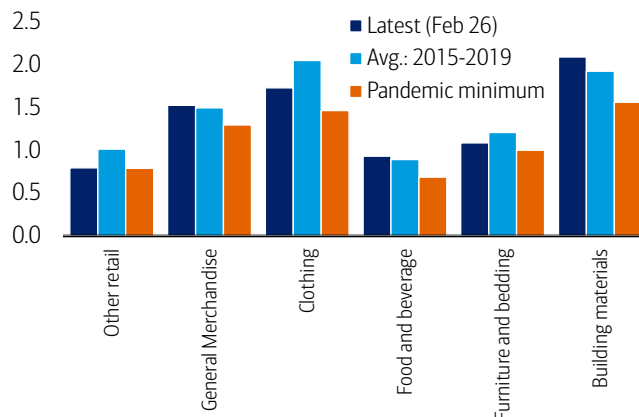


Source: BEA, BofA Global Research

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Exhibit 4: Inventory-to-sales ratios are closer to pre-pandemic averages than to the lows seen during the pandemic

Inventory-to-sales ratios



Source: Census Bureau

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Fiscal policy is not the same factor as it was in 2022 either. Back then, the government issued \$6tn in COVID stimulus, of which \$2tn (6% of GDP) was sent to households. While fiscal policy is currently expansionary, the scale is much smaller today with households estimated to benefit from a \$140bn (0.5% of GDP) in individual tax cuts.

Last, the labor market is currently more balanced. The ratio of job openings to unemployed workers, a key measure of labor market slack and inflation, peaked at 2 in July 2022, but now stands around 1 (Exhibit 5). Earnings transcripts also show limited mentions of labor shortages or labor costs (Exhibit 6). And though hiring has shown signs of picking up, the labor market appears to be stabilizing rather than accelerating. Therefore, we wouldn't expect wages to be a source of cost-push (or demand-pull) inflation.

Supply is similar, demand is different

In summary, many of the supply factors that contributed to the inflation surge in 2022—such as supply chain disruptions and rising input costs—are present today. However, two key differences stand out. First, the labor market does not appear to be a significant source of upward inflationary pressure. Second, demand-driven inflation factors were much more prominent in 2022 due to fiscal stimulus and a shift in consumption composition toward goods. As a result, the absence of wage pressures and reduced sources of demand-driven inflation should help limit inflationary risks in the current environment.

Exhibit 5: Despite recent improvement, the ratio of vacancies to unemployed workers is far below its 2022 peak

Vacancy-to-unemployment (V/U) ratio

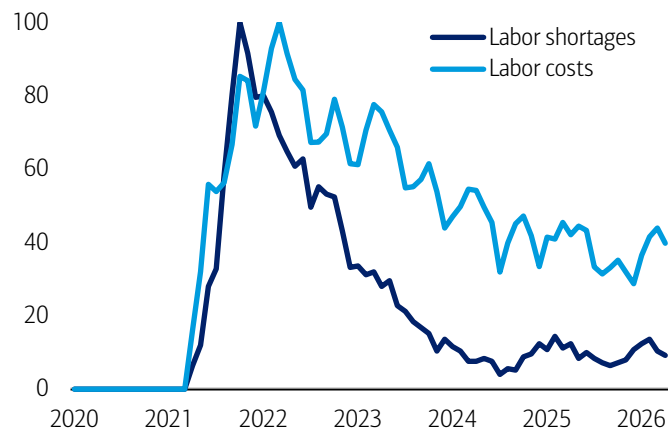


Source: BLS, Haver Analytics

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Exhibit 6: Firms have not reported a meaningful uptick in labor shortages or labor costs recently

S&P 500 Earnings Transcripts mentions (100 = historic max, 3m moving average)



Source: Bloomberg

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Euro area

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ECB preview: the beginning of a short hiking cycle

Complete report: [Europe Economic Weekly: Relentless vs reluctant 05 June 2026](#)

- The ECB is likely to deliver the well flagged 25bp hike across policy rates next week.
- Communication changes are likely to be small, maintaining an implicit hiking bias.
- We expect one more hike. Forecasts might leave the door open for a bit more.

Time for the well telegraphed hike

We expect the ECB to hike all three policy rates by 25bp next week. With the energy price shock a bit larger than initially incorporated in the March forecasts (which already included a June hike), more long lasting, and with (slightly) more persistent energy price effects, the natural slope is for the ECB to deliver a quite well telegraphed hike.

New forecasts will show a bit less growth and more inflation in the near term but, crucially, still show inflation back to target by the end of the forecasting period. With roughly three hikes now incorporated in the baseline, the message will likely come out as a bit hawkish vs March, suggesting two hikes is still a reasonable base case, but leaving the door open to do more rather than less in case of doubt. The information on alternative scenarios should give us more clarity in this regard but we remain agnostic about the scenarios we will get.

Those hikes and forecast changes will likely come with no major changes to the written or verbal guidance. We expect communication to keep a hiking bias, even if implicit, given the more persistent shock, but beyond that we would expect an emphasis on uncertainty, data-dependence, no pre-committing, and the need to decide meeting by meeting.

Where do we go next?

As a reminder, we pencil in rate hikes in June and July 2026, 25bp each. Whether the second hike happens in July or September will depend on where energy prices are by then. July needs a sense of urgency. Oil prices close to \$90 could delay that hike to September. At the same time, the latest inflation print increases the odds of July if some of the move in Services proves not to be temporary.

Cuts will need to follow, eventually. Our macro view holds firm: the path to sub-2% inflation is delayed, but all macro ingredients remain in play: a shallow recovery at unspectacular levels, with a very fragile and non-inflationary labour market, suboptimal fiscal policy, and central bank policy that always errs on the tight side. That still implies ECB policy rates returning to current levels at most by end-27 (depo at 1.75% in our base case).

Forecast update signal: one and not done

We expect the ECB to give an update on its scenario analysis, but struggle to second guess the ingredients of the forecast, i.e. the cut-off date for technical assumptions for the base case, or their design for the alternatives. The main differences compared to the March base case lie in oil prices and market pricing of the ECB trajectory itself. We assume two alternatives for the ECB forecasts:

“Regular” June forecast cut-off => hawkish signal

A regular forecast exercise would put the cut-off date for technical assumptions roughly three weeks ahead of the meeting, ie 20 May.

Synthetic energy prices (i.e. the weighted average of oil and gas) were c 14% above the March base case in 2026 and still 8-9% higher in 2027/28 into that cut-off period, mainly due to oil prices. Compared to the ECB's "adverse" scenario, that would be c 10% lower for this year, but still 8-9% above the 2027-28 trajectory.

Meanwhile, the market has priced a more hawkish ECB compared to March. A "regular" cut-off on 20 May would imply market pricing of close to 80bp of policy rate hikes – twice what was included in the March scenario.

A somewhat lower oil price this year than in the "adverse scenario", but with greater persistence, brings elements of the "severe" scenario into play. But more demand destruction and more ECB hikes priced should, to our mind, mean inflation back on target in 2028 on an annual average basis.

True, that would imply the ECB giving the "nod" to more than 50bp of hikes. But we would caution against taking that at face value. The downward slope in core inflation would be much steeper to get to target, on average, in 2028, and most likely imply end-28 quarterly core inflation below 2%. That, to our mind, would be the ECB's way of flagging that three hikes or more is not unthinkable, but probably a bit too much.

Exhibit 7: By mid-May, oil prices had moved a lot higher, and persistently so, compared to the March base case

Technical assumptions with cut-off on 20 May

	Mar-26				Jun-26 (exp)		
	2025	2026	2027	2028	2026	2027	2028
Oil (USD)	69.1	81.3	72.1	70.2	97.6	82.1	77.0
Gas (EUR)	36.2	46.4	36.6	26.1	45.0	36.4	27.2
Electricity	83.6	87.7	77.9	65.2	87.2	73.9	66.7
ETS1	73.9	72.9	73.4	75.5	75.1	75.8	78.9
USD/EUR	1.13	1.16	1.16	1.16	1.17	1.17	1.17
NEER	128.3	129.6	129.4	129.4	130.94	130.97	130.97

Source: BofA Global Research

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Exhibit 8: That means less growth, higher inflation, but still a return to target on more ECB rate hikes priced by markets

Forecast of ECB growth and inflation forecasts

	Mar-26				Jun-26 (exp)		
	2025	2026	2027	2028	2026	2027	2028
Real GDP	1.5	0.9	1.3	1.4	0.7-0.8	1.2	1.3-1.4
HICP	2.1	2.6	2.0	2.1	2.9-3.0	2.2-2.3	2.1
ex food & energy	2.4	2.3	2.2	2.1	2.4-2.5	2.3-2.4	2.0-2.1

Source: BofA Global Research

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Very late cut-off date including peace deal hopes

We wouldn't rule out the ECB repeating the same exercise it did into March: a more recent cut-off date with a shorter reference period, i.e. the three days into 3 June for technical assumptions. This would be a way to incorporate market repricing on the back of peace deal hopes.

Synthetic energy prices would still be c 7% above the March base case for 2026-28. And market pricing closer to 70bp. The difference would not be huge, but the implied signal probably still relevant. We would expect slightly less growth damage this year, a lower (core) inflation peak and end-point inflation at or below target in this context.

Overall, the message would still skew hawkish, with two hikes more or less the base case and an inclination to perhaps do more rather than less in case of doubt. We still see such an outcome as ultimately unlikely, but it would be a forecast-implied message akin to that of the "severe scenario" in March.

Exhibit 9: An alternative cut-off this week includes peace deal hopes but still higher energy prices than in the March base case

Technical assumptions under a 20 May vs 3 June cut-off date, incl implications for macro forecasts.

	Jun base case (exp)				Jun alt (exp)		
	2025	2026	2027	2028	2026	2027	2028
Technical assumptions							
Oil (USD)	69.1	97.6	82.1	77	89.5	79.4	75.8
Gas (EUR)	36.2	45	36.4	27.2	44.4	36.7	27.4
Macro variables							
Real GDP	1.5	0.7-0.8	1.2	1.3-1.4	0.8-0.9	1.2	1.4
HICP	2.1	2.9-3.0	2.2-2.3	2.1	2.7-2.8	2.1-2.2	2.0-2.1
ex food & energy	2.4	2.4-2.5	2.3-2.4	2.0-2.1	2.3	2.3	2.0-2.1



Exhibit 9: An alternative cut-off this week includes peace deal hopes but still higher energy prices than in the March base case

Technical assumptions under a 20 May vs 3 June cut-off date, incl implications for macro forecasts.

	Jun base case (exp)	Jun alt (exp)
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Source: BofA Global Research

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Check the NCB forecasts later

Remember ECB projections are conducted from a top-down perspective by ECB staff in March and September, and from a bottom-up perspective by National Central Banks (NCB) in June and December. That can create some fairly unexpected changes in inflation trajectories at times.

But, more importantly, we think it will be particularly interesting to keep an eye on individual central banks' forecasts for their respective national economies to see how broad-based the assumption of particularly fast and sizeable second-round effects is. This could offer a glimpse into the relative distribution of views/concerns across Governing Council members (Banque de France, in its March forecast, did not share that assumption, for instance).

UK

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Bit by bit

This week a second MPC member Megan Greene argued that the case for hikes is growing. She noted that risk of acting is less severe than that of failing to act. Her comments suggest that she is close to voting for a hike potentially as soon as June (along with Huw Pill who already voted for a hike in April).

But this urgency has not been seen in the majority of the committee yet. Governor Bailey was somewhat dovish last week by noting that allowing inflation temporarily above 2% is appropriate, given uncertainty and weakness in the economy and reacting too early may cause volatility. This can explain the active hold in April. He is taking comfort from the fact that tightening in financial conditions has done some of the work and that gives them some time. But he did note that tolerance would reduce if second round effects begin to emerge and second round effects are likely to be stronger, the larger and more persistent the shock is. And this week his comments were more neutral when he noted that they cannot wait for hard evidence for second round effects to act.

All this means a June hike is unlikely and data/ persistence of energy prices would need to push them to hike in July. There is a whole load of data until July including three Decision Maker Panels (one today), May/ June inflation and couple of labour market reports. The trajectory of oil prices and conflict dynamics are equally important.

Our base case is for hikes in July and September with risks of one. Risks are for further delays given BoE's hesitancy. But we do worry that the more the BoE delays, greater the risks are that 1) market pricing for hikes reduces, undoing some of the tightening of the curve which is currently doing the work for them 2) second round effects begin to materialize. 3) Moreover, by July it would be hard to argue in our view that the shock is not persistent enough to worry about risks of second round effects (especially as July would require an update of scenarios on energy prices and inflation forecasts) if energy prices are still high.

But we do see some merit in the argument for a delay to September as September is when the MPC will have data on July inflation which is when the Ofgem price cap resets higher. Perhaps evidence on direct and indirect impacts and inflation expectations become stronger when households see their gas bills rise in July. As a result, we highlight risks of delays to our call of hikes in July and September.

Moreover, a lasting deal which meaningfully reduces oil prices sustainably or labour market worsening materially would increase the risks of a look-through scenario for the BoE. Either way risks of look through are higher than more than 50 bps of hikes.



China

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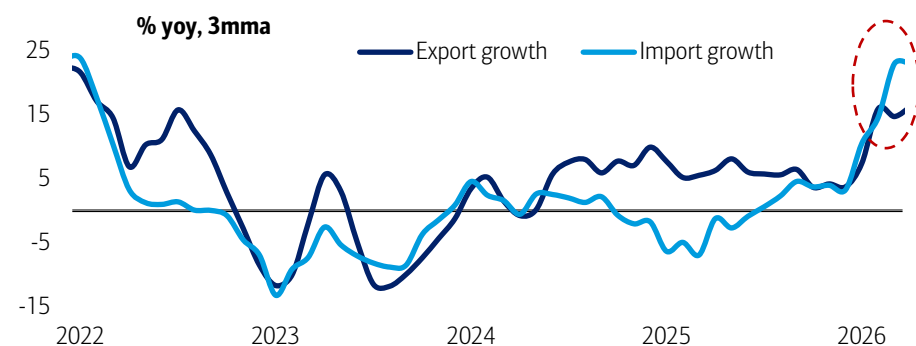
Rebound not rebalancing: a supply-driven import surge

See complete report: [Asia Economic Weekly: China: Recent import surge hardly a sign of rebalancing 05 June 2026](#)

Chinese goods imports have rebounded sharply this year, rising 24% yoy Jan-Apr and now outpacing exports, reversing last year's pattern. Services imports also picked up in Mar. While this may signal rebalancing, the strength reflects cyclical, price-driven supply factors rather than a broad-based domestic demand recovery. As these effects fade and structural import substitution persists, the recent rebound likely overstates underlying adjustment, pointing to limited near-term improvement in China's external balance.

Exhibit 10: Import growth is now outpacing export growth by a wide margin

Chinese goods import growth has surged since the start of this year, up 24% yoy for the first four months



Source: General Administration of Customs

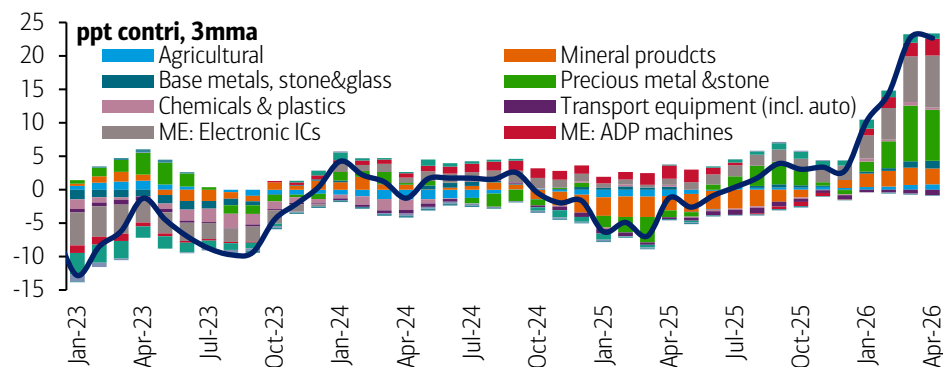
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Significantly more expensive chips drive import strength

For the three months to April 2026, semi chips (ICs) imports contributed 7.8ppt of the 22.7% yoy rise in headline imports, the highest of all components. This reflects strong global AI-driven demand and China's reliance on imported advanced chips. Crucially, the surge is price- rather than volume-driven: volumes are broadly stable, while unit prices have risen sharply, especially in memory (e.g. DRAM and NAND), amid tight supply. While price momentum for chips should moderate sequentially for rest of the year, yoy gains will remain elevated near term before easing more clearly into 4Q.

Exhibit 11: China's total import growth, by contribution

Nearly 70% of import growth in the last three months was driven by two sectors alone: electronics ICs (i.e. semiconductor chips) and precious metals



Source: BofA Global Research, General Administration of Customs

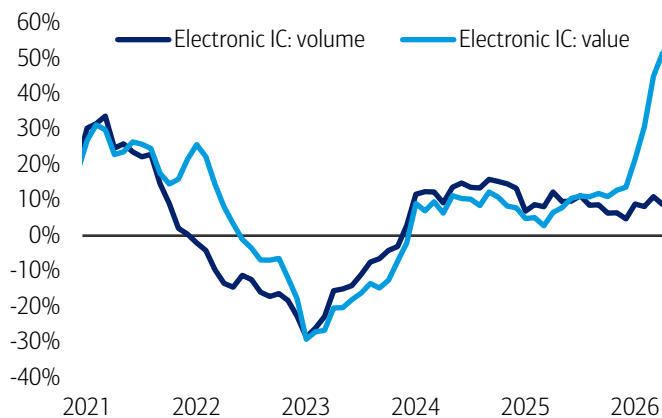
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Exhibit 11: China's total import growth, by contribution

Nearly 70% of import growth in the last three months was driven by two sectors alone: electronics ICs (i.e. semiconductor chips) and precious metals

Exhibit 12: While import values for electronic ICs have surged, volume growth has remained relatively modest

IC imports value and volume %yoy (3-month moving average)

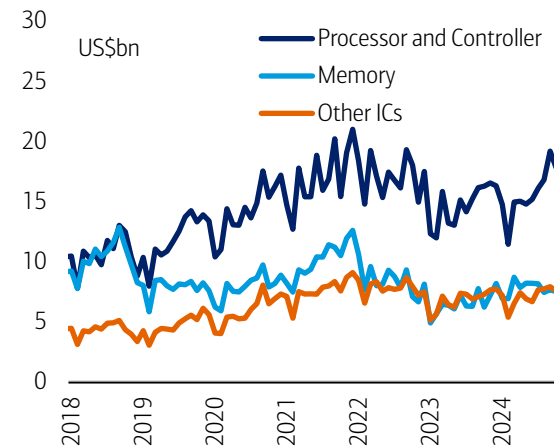


Source: General Administration of Customs

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Exhibit 13: The surge in IC imports is the most evident in

Total value of IC imports by type (USD mn)



Source: General Administration of Customs

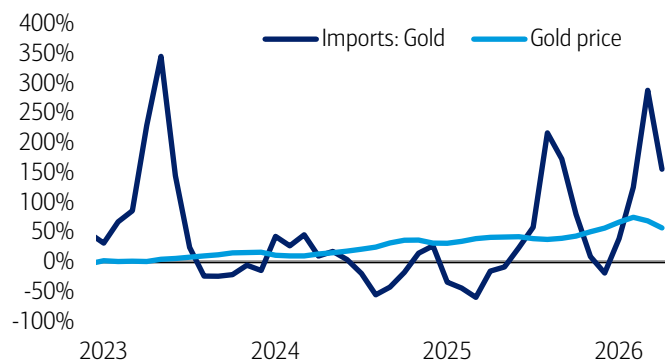
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Oh my precious (metals)!

Precious metals were the second-largest driver of imports, contributing 7.6ppt to the 22.7% yoy increase, dominated by gold. This surge is not purely price-driven: gold prices rose ~60% yoy, but import values jumped 156%, pointing to strong investment demand. Gold bar & coin consumption rose 46% yoy in 1Q26, offsetting weak jewelry demand and signaling a shift toward store-of-value buying. While gold investment demand should stay resilient, base effects from 3Q suggest its contribution will ease toward year-end.

Exhibit 14: Gold imports surged on higher prices and investment demand

Gold imports value and volume %yoy

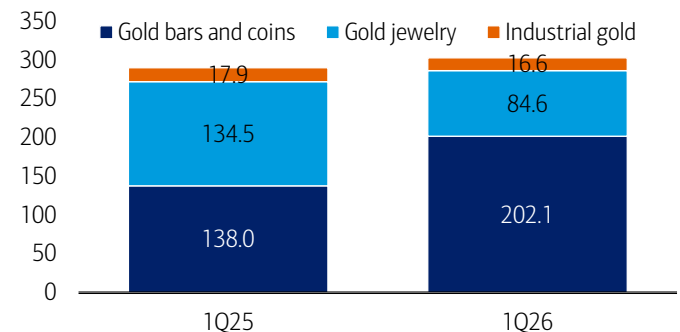


Source: General Administration of Customs

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Exhibit 15: Demand for gold bars and coins have surged this year while that of jewelry has pulled back on elevated pricing

Composition of domestic gold consumption in China



Source: China Gold Association

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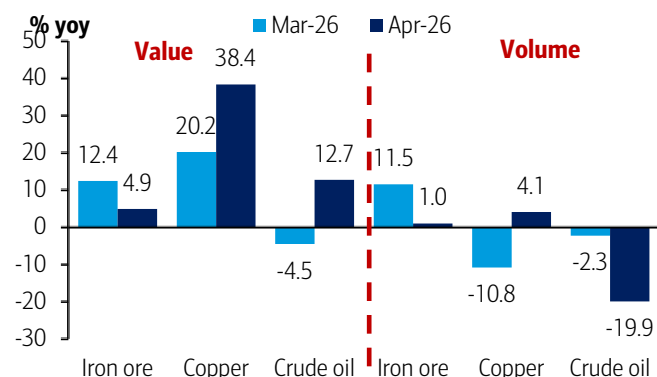
The rest: raw materials and services trade

The remaining 30% of goods import growth is driven by raw materials and still a price story. Oil prices more than doubled yoy, lifting values despite weaker volumes, while copper gains reflect strong structural demand. Services imports tell a similar story: supply-driven transport costs are pushing up imports, while demand indicators like tourism have yet to recover meaningfully.



Exhibit 16: Copper and crude oil led gains for raw materials imports

Value and volume growth for raw materials (%yoy)

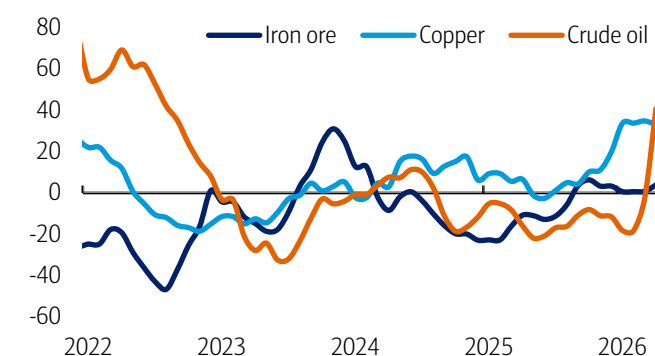


Source: General Administration of Customs

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Exhibit 17: Prices for copper and crude oil has surged this year on supply demand imbalance

Prices for key raw materials (%yoy)



Source: Bloomberg

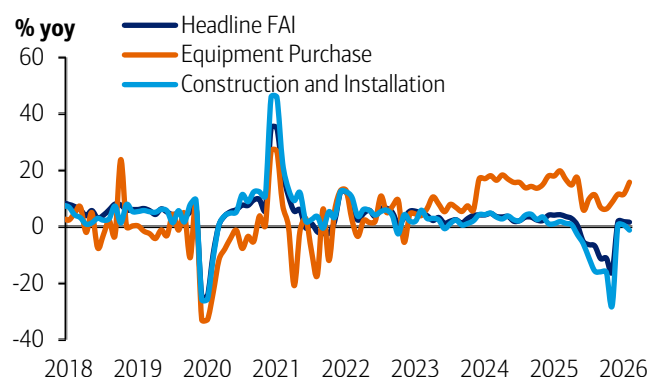
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My car, new machines, made in China

A more structural factor weighing down on China's imports is the push for domestic substitution, with autos and equipment leading the way. Strong policy support has enabled rapid EV expansion, making China the world's largest producer and a net exporter. In machinery, policy backing and investment have also strengthened domestic capacity, with imports moderating. Semis are the next catalyst, where heavy policy support is driving incremental gains but reliance on imported advanced chips remains.

Exhibit 18: Equipment purchase FAI has stayed elevated in recent years despite softness elsewhere

Total FAI growth and by purpose (%yoy)

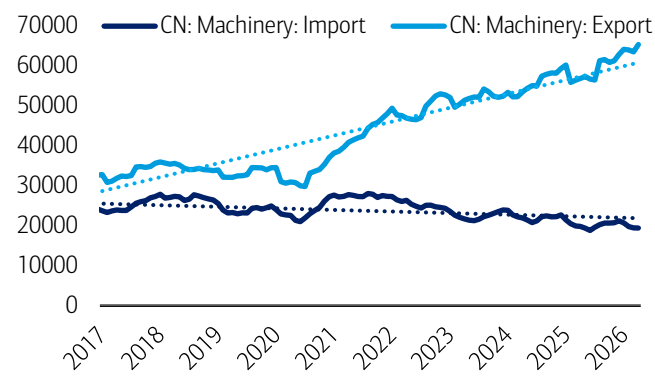


Source: NBS

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Exhibit 19: Total export value of machinery has surged in recently years while imports have been on a structural decline

Value of machinery import and exports (USD mn)



Source: General Administration of Customs

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True rebalancing hinges on domestic demand rebound.

Our analysis suggests that China's recent import strength largely reflects price-driven gains in a narrow set of commodities and technology inputs. With prices likely to remain elevated in some key categories, particularly semis, headline import growth may stay firm in the near term before easing meaningfully toward year-end as price effects fade.

A more genuine rebalancing, therefore, would require a broad-based recovery in household consumption and overall investment, both of which have softened again in the latest April activity data. For now, meaningful policy stimulus still appears unlikely. But as domestic indicators weaken and the contribution from net exports to growth declines—despite strong exports, rising imports are diluting the net trade impulse—policymakers may be forced to reassess and step up support should the softness prove more persistent.

Emerging EMEA

Tatonga Rusike
MLI (UK)

South Africa: Fiscal anchors – increasingly a necessity, not a choice

Complete report: [South Africa Viewpoint: Fiscal anchors – increasingly a necessity, not a choice 01 June 2026](#)

Fiscal cycles: a three-chapter story

South Africa has experienced three fiscal cycles over the past 25 years. The first was the golden era pre-GFC, defined by a positive fiscal stance (large primary surpluses), supported by high GDP growth, which led to a decline in debt ratio by close to 15% of GDP. In this phase, South Africa had multiple credit rating upgrades reaching a peak of BBB+ at Fitch and S&P, while Moody's was a notch higher at A3.

The second fiscal phase was post GFC into Covid, characterised by a negative fiscal stance (consistent primary deficits), with modest GDP growth and rising borrowing costs, which led to debt-to-GDP rising to 70% from 25%. Credit downgrades followed from 2012 until 2020 – with a loss of investment grade in 2017 by Fitch and S&P and reaching the lowest level of BB-/stable in 2020.

We are now in the third fiscal phase: post-Covid, with a disciplined fiscal stance (large primary surpluses). The improvement in fiscal discipline has been rewarded with declining borrowing costs and the start of upgrades in sovereign ratings for the first time since September 2009. However, GDP growth is still low and the decline in debt not fully assured. The current energy shock presents downside risks to economic growth and likely fiscal trajectory.

The way forward: a proposed deficit limit of 3% of GDP

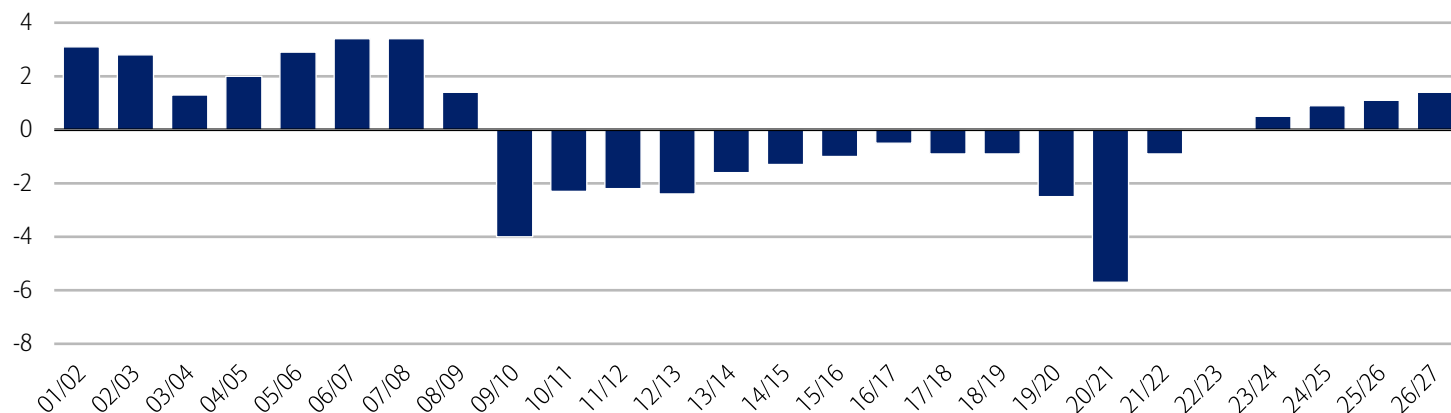
South Africa has used nominal expenditure ceilings to manage spending growth. But when economic growth slows, revenue shortfalls widen the fiscal deficit. This has been the case in the post-GFC and Covid periods. Various measures to increase tax rates have helped narrow the gap (in 2016, the government introduced the highest rate of 45% on personal income tax and in 2018 increased VAT to 15% from 14%). However, these steps have not been sufficient to reduce deficits significantly. As seen in multiple 2025 budget presentations, when a VAT increase was rejected, tax increases are now politically difficult given that no single political party holds a majority in parliament. So, something stronger is required to put debt on a sustained downward path – either through higher GDP or fiscal measures.

South Africa is already pursuing primary surpluses. Putting these targets into law could entrench fiscal discipline and limit political interference. In this context, the government could adopt a legally binding rule that caps headline deficits at 3% of GDP and provide appropriate escape clauses when shocks occur. The fiscal framework is already moving in this direction with a target of reaching 3% by 2028. This level would keep deficits moderate while supporting primary surpluses large enough to bring debt-to-GDP down materially. This would automatically entrench a positive fiscal stance.



Exhibit 20: Primary balance to GDP trend (%)

The return of primary surpluses since 2023 is a positive development that should be entrenched.



Source: Haver, BofA Global Research

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The fiscal stance is improving but is it enough?

We measure fiscal stance using the primary balance. This measure strips out interest payments that are compulsory and inflexible, and the first charge on revenues. The balance between non-interest spending and revenues therefore reflects a government's fiscal stance. In South Africa, this stance has changed over the years – sometimes weak but more recently improving while the cost of debt is moderating.

The debt-stabilising primary balance is a moving target as it depends on factors such as economic growth. For a substantial reduction in debt, South Africa requires primary surpluses much higher than the level needed to stabilise debt. Large primary surpluses would help to drive a firmer decline in the debt-to-GDP ratio.

An improved fiscal stance has helped debt to peak in the 2025/26 fiscal year and set it on a declining path. However, risks of lower GDP growth have intensified since the energy shock in early March 2026. That could derail the fiscal consolidation path and potential downward debt trajectory. This raises the key policy question: is the current improvement sufficient, or does it need to be reinforced through formal fiscal anchors?

Stuck in a decade-long growth trap

What is still elusive is strong economic growth. For many years since the Global Financial Crisis, South Africa has struggled to grow the economy at a high pace. But our GDP nowcasting work shows a structural break in 2026 – economic growth has slowed to around a 1% average and has so far been unable to escape this low-growth trap. Structurally lower real GDP growth translates into lower nominal GDP growth.

The shift to a lower inflation target in mid-2025 also implies lower nominal GDP growth, while the energy shock presents further downside risks. This suggests nominal GDP growth is likely to be in the 4-5% range over the medium term, compared with historical highs of close to 7%. That is a clear constraint on debt metrics and could further widen the gap between borrowing costs and growth ($r-g$), which requires a much larger primary surplus to stabilise debt. In fiscal year 2025/26, the primary surplus is 1.1%, so would require at least 1.5% of GDP each year over the medium term.

Latin America

Carlos Capistran
BofAS

Mexico – Stability holds, growth lags

Complete report: [Emerging Insight: Mexico – Stability holds, growth lags](#)

Mexico's central macro challenge is persistently low growth, a problem that extends well beyond a single year and reflects deep structural constraints, particularly weak productivity that has lowered potential growth. More recently, elevated uncertainty, tight fiscal policy and, until recently, restrictive monetary conditions have also weighed on activity, leaving the economy cyclically soft.

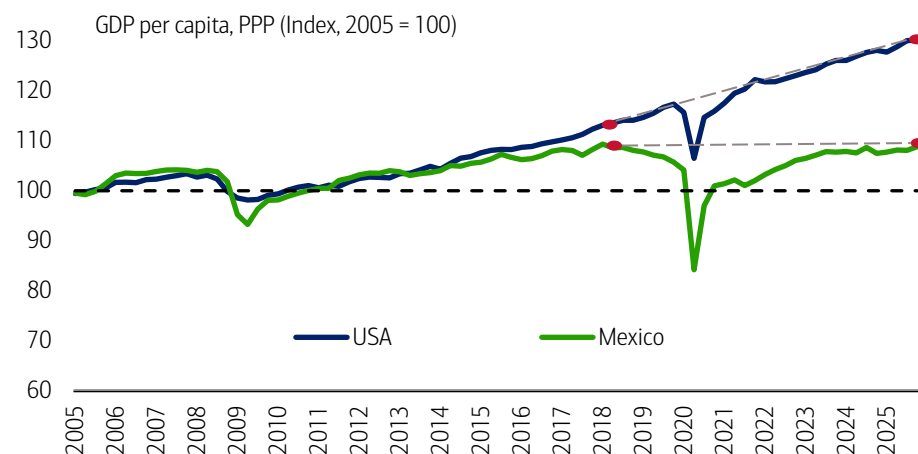
Against this backdrop, macroeconomic stability remains a key strength. Mexico shows no clear imbalances, with only small CA and primary fiscal deficits, and a long-standing policy preference for preserving stability. The positive development is that the current administration has elevated growth on the policy agenda, which should help address these constraints over time. That said, if low growth were to persist for a prolonged period, stability itself could gradually come under pressure, particularly on the fiscal front – an issue to monitor over the medium term, even if it is not an immediate concern.

The growth challenge

Mexico's growth problem is increasingly evident. GDP per capita has declined in recent years, even as GDP per capita in the US has continued to rise steadily (Exhibit 21). The underperformance is not limited to a comparison with the US: over the past five years, GDP per capita growth in Mexico has also lagged that of peers such as Chile, Brazil and Colombia (Exhibit 22).

Exhibit 21: Mexico GDP per capita has not grown since 2018

GDP per capita (PPP 2021, 2005=100) (2005 -2025)



Source: BofA Global Research, OECD

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We see a large structural component behind this weak performance, best described as a productivity crisis. Total factor productivity has been declining steadily since the 1980s (Exhibit 23), and the problem appears to have intensified recently. Since 2018, US total factor productivity has increased by more than 20%, while Mexico's has fallen by more than 20% (Exhibit 24).

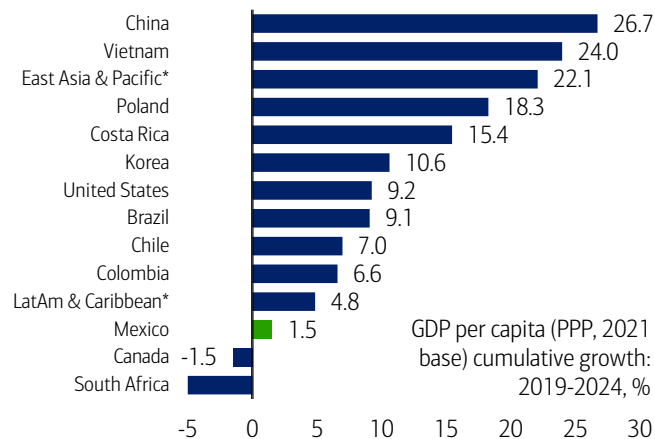
This productivity decline reflects, in part, a range of supply-side challenges. Since the pandemic, many formal firms have closed in Mexico. While the initial impact was concentrated among larger firms, recent data shows that small businesses have also



been closing in recent years (Exhibit 25). On the labor supply side, the evidence points to weak labor productivity growth.

Exhibit 22: In 5 years, Mexico GDP per capita grew modestly

GDP per capita, cumulative growth (% PPP 2021, 1990=100) (2019-2024)

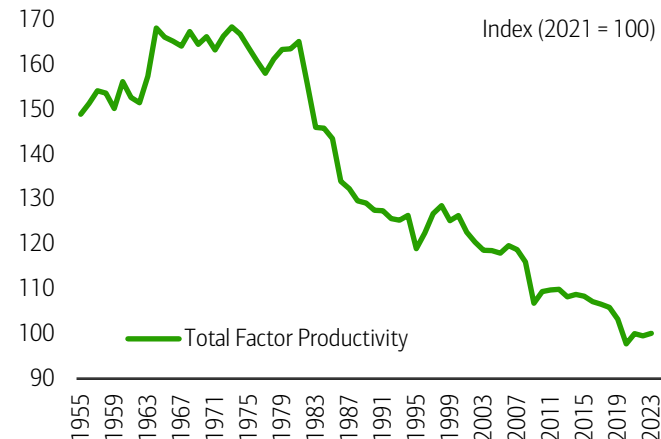


Source: BofA Global Research, World Bank

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Exhibit 23: Mexico's total factor productivity keeps falling

Total Factor Productivity (2021=100) (1955-2023)

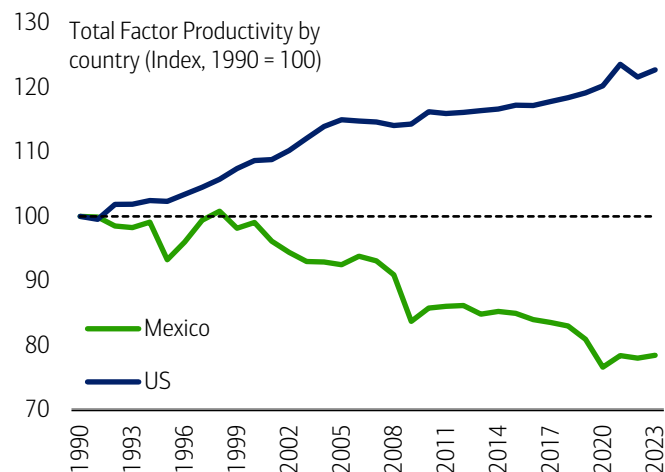


Source: BofA Global Research, Penn World Table

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Exhibit 24: Productivity gap widens between Mexico and the US

Total Factor Productivity (1990=100) (1990-2023)

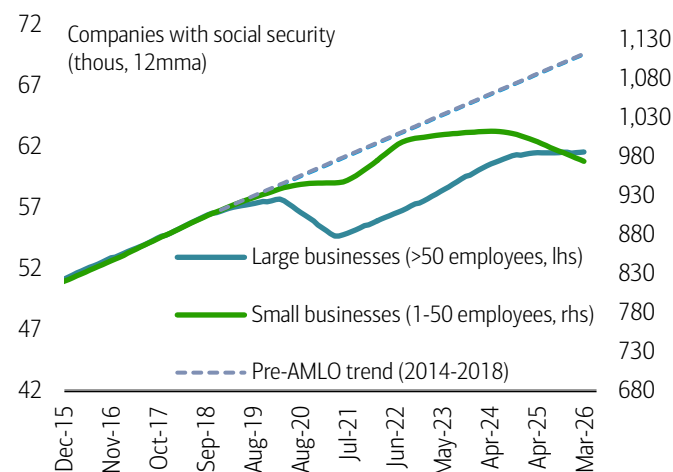


Source: BofA Global Research, Penn World Tables

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Exhibit 25: Weaker firm growth since 2018 reflects supply challenges

Number of companies with social security (12mma thousands) (2015-2026)



Source: BofA Global Research, IMSS

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Persistently low growth suggests that Mexico's potential growth has declined. One way to assess this is through medium-term growth expectations. In Banxico's Survey of Professional Forecasters, expectations for average GDP growth over the next 10 years stood at around 4% until the mid-2010s. From 2020 to 2024, expectations fell to around 2%, and since 2025 they have consistently dropped below 2%.

Key forecasts

Exhibit 26: Economic forecasts

GDP growth, inflation and policy rate forecasts for the major economies

Economic forecasts

	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2025	2026F	2027F
Global and Regional Aggregates, %												
United States												
Real GDP growth ¹	0.5	1.6	2.5	1.9	1.9	2.2	2.3	2.5	2.4	2.1	2.1	2.2
CPI inflation	2.7	2.7	4.0	3.7	3.5	2.8	1.8	2.0	2.0	2.7	3.5	2.3
Policy Rate (EoP)	3.63	3.63	3.63	3.63	3.63	3.63	3.63	3.13	3.13	3.63	3.63	3.13
Euro area												
Real GDP growth ¹	0.8	0.6	0.4	0.6	1.3	1.4	1.4	1.3	1.1	1.5	0.7	1.2
CPI inflation	2.1	2.0	3.2	3.3	3.2	2.9	1.9	1.5	1.2	2.1	2.9	1.9
Policy Rate (EoP)	2.00	2.00	2.25	2.50	2.50	2.50	2.25	2.00	1.75	2.00	2.50	1.75
China												
Real GDP growth ²	4.5	4.5	4.5	4.6	4.5	4.5	4.5	4.4	4.4	5.0	4.5	4.5
CPI inflation ³	0.6	0.9	1.2	1.2	0.9	1.0	0.6	0.7	0.7	0.0	1.0	0.8
Policy Rate (EoP)	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40
Japan												
Real GDP growth ¹	0.8	2.1	0.4	0.4	0.8	0.7	0.4	0.8	0.8	1.1	0.6	0.6
CPI inflation	2.7	1.4	1.9	2.4	2.7	3.6	3.0	2.3	1.3	3.2	2.1	2.6
Policy Rate (EoP)	0.75	0.75	1.00	1.00	1.25	1.50	1.50	1.75	1.75	0.75	1.25	1.75
Global Aggregate ⁴												
Real GDP growth										3.5	3.1	3.4
CPI inflation										2.5	3.2	2.5
Policy Rate (EoP)										3.72	3.73	3.41
Emerging Markets Aggregate ⁴												
Real GDP growth										4.7	4.2	4.6
Real GDP growth (ex-China)										4.6	4.0	4.7
CPI inflation										2.4	3.3	2.7
Policy Rate (EoP)										4.40	4.22	3.97

Notes: 1. Quarterly values are % q/q annualized | 2. Quarterly values are % y/y. | 3. Quarterly values are period averages. | 4. Due to reporting limitations, Global and EM aggregate are annual only.

Source: BofA Global Research

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Exhibit 27: Markets forecasts

Forecasts for FX, interest rates, commodities and equities

Markets forecasts

	spot	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
Exchange Rates (EoP)								
EUR/USD	1.16	1.17	1.17	1.20	1.20	1.22	1.23	1.24
USD/JPY	160	159	154	152	152	150	148	146
USD/CNY	6.77	6.90	6.80	6.70	6.70	6.70	6.70	6.60
GBP/USD	1.34	1.35	1.39	1.43	1.43	1.45	1.46	1.49
Interest rates (% EoP)								
US 10yr	4.47	4.35	4.30	4.25	4.25	4.25	4.25	4.25
Germany 10-year	3.02	3.05	3.00	2.95	2.85	2.75		2.70
Japan 10yr	2.66	2.70	2.73	2.90	3.00	3.03	3.10	3.05
Commodities ¹								
Oil - WTI (\$/bbl)	92.8	94	88	88	84	77	70	62
Oil - Brent (\$/bbl)	95.1	103	95	94	89	82	75	67
Gold (\$/oz)	4450	4500	5250	5750	5200	5000	5000	4500
Equities (EoP)								
S&P 500	7584			7100				
Stoxx 600	624	530		565				

Source: BofA Global Research

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Detailed forecasts

Global economic forecasts

Exhibit 28: Global Economic Forecasts

Global GDP growth expected at 3.1% in 2026 and 3.4% in 2027

	GDP growth, %			CPI inflation*, %			Short term interest rates**, %			
	2025	2026F	2027F	2025	2026F	2027F	Current	2025	2026F	2027F
Global and regional aggregates										
Global	3.5	3.1	3.4	2.5	3.2	2.5	3.71	3.72	3.73	3.41
Global ex US	3.8	3.3	3.7	2.4	3.2	2.5	3.73	3.75	3.75	3.47
Global ex China	3.1	2.6	3.1	3.2	3.9	3.0	4.39	4.41	4.42	4.02
Developed Markets	1.4	0.8	1.2	2.6	3.1	2.2	4.69	4.65	5.14	4.36
Emerging Markets	4.7	4.2	4.6	2.4	3.3	2.7	4.36	4.40	4.22	3.97
Emerging Markets ex China	4.6	4.0	4.7	4.0	4.8	4.0	6.15	6.21	5.93	5.54
Europe, Middle East and Africa (EMEA)										
Europe, Middle East and Africa (EMEA)	2.2	1.5	2.3	4.6	4.2	3.1	4.47	4.56	4.47	3.57
European Union	1.7	1.1	1.5	2.5	3.1	2.0	2.31	2.33	2.71	2.06
Emerging EMEA	3.4	2.8	4.1	9.7	7.0	5.6	8.18	8.42	7.36	6.05
Emerging Asia	5.5	4.9	5.1	0.9	2.4	2.1	2.73	2.70	2.83	2.87
ASEAN	5.1	4.3	4.6	1.6	3.5	2.8	3.72	3.56	3.80	3.59
Latin America	2.4	2.1	2.5	3.7	5.0	3.9	8.44	8.59	7.98	7.61
G6										
US	2.1	2.1	2.2	2.7	3.5	2.3	3.63	3.63	3.625	3.125
Euro area	1.5	0.7	1.2	2.1	2.9	1.9	2.00	2.00	2.50	1.75
Japan	1.1	0.6	0.6	3.2	2.1	2.6	0.75	0.75	1.25	1.75
UK	1.4	1.0	1.1	3.4	3.3	2.4	3.75	3.75	4.25	3.50
Canada	1.9	0.6	1.5	2.1	2.4	1.9	2.25	2.25	2.25	2.25
Australia	2.0	2.0	1.7	2.9	4.2	2.6	4.35	3.60	4.35	3.85
Euro area										
Germany	0.3	0.6	1.1	2.3	3.2	2.2	2.00	2.00	2.50	1.75
France	0.9	0.7	1.1	0.9	2.2	1.5	2.00	2.00	2.50	1.75
Italy	0.7	0.4	0.7	1.6	2.9	1.7	2.00	2.00	2.50	1.75
Spain	2.8	2.1	1.5	2.7	3.0	2.1	2.00	2.00	2.50	1.75
Netherlands	1.8	0.7	1.1	3.0	2.7	2.2	2.00	2.00	2.50	1.75
Belgium	1.0	0.6	1.1	3.0	3.8	2.0	2.00	2.00	2.50	1.75
Austria	0.7	0.6	1.3	3.6	3.5	2.4	2.00	2.00	2.50	1.75
Greece	2.2	1.8	1.8	2.9	4.1	2.9	2.00	2.00	2.50	1.75
Portugal	1.9	1.6	1.6	2.2	2.7	1.8	2.00	2.00	2.50	1.75
Ireland	12.4	-3.3	3.6	2.1	3.8	1.9	2.00	2.00	2.50	1.75
Finland	0.2	0.7	1.2	1.8	2.7	1.4	2.00	2.00	2.50	1.75
Other developed economies										
New Zealand	0.2	1.0	2.8	2.8	3.8	2.6	2.25	2.25	2.75	2.75
Switzerland	1.3	0.8	1.4	0.2	0.8	0.7	0.00	0.00	0.00	0.00
Norway	1.8	1.2	1.0	3.0	3.6	2.4	4.25	4.00	4.25	3.75
Sweden	1.8	2.0	1.9	2.6	1.8	1.4	1.75	1.75	2.00	2.00
Emerging Asia										
China	5.0	4.5	4.5	0.0	1.0	0.8	1.40	1.40	1.40	1.40
India	7.5	6.2	7.5	2.1	4.7	4.6	5.25	5.25	5.50	5.75
Indonesia	5.1	5.2	5.4	1.9	2.9	2.8	5.25	4.75	5.25	4.75
Korea	1.0	3.1	2.0	2.1	2.7	2.2	2.50	2.50	3.00	3.00
Taiwan	8.7	7.2	4.0	1.7	2.0	1.7	2.00	2.00	2.25	2.375
Thailand	2.4	1.9	2.1	-0.1	3.0	0.3	1.00	1.25	1.00	0.75
Malaysia	5.2	4.2	4.5	1.4	1.8	2.2	2.75	2.75	2.75	2.75
Philippines	4.4	2.0	3.0	1.7	7.3	5.3	4.50	4.50	5.00	5.00
Singapore	5.0	2.5	2.5	0.9	2.1	1.9				
Hong Kong	3.5	2.3	2.5	1.4	2.1	2.0	4.00	4.00	3.50	3.50
Vietnam	8.0	7.0	7.0	3.3	4.5	4.0	4.50	4.50	4.50	4.50

Note: *CPI forecasts are annual averages, except LatAm (end-of-period). **End of period

Source: BofA Global Research

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Exhibit 29: Global Economic Forecasts (continued)

Global GDP growth expected at 3.1% in 2026 and 3.4% in 2027

	GDP growth, %			CPI inflation*, %			Short term interest rates**, %			
	2025	2026F	2027F	2025	2026F	2027F	Current	2025	2026F	2027F
Latin America										
Brazil	2.3	2.3	2.0	4.3	5.5	4.0	14.50	15.00	13.25	12.50
Mexico	0.8	0.8	1.5	3.7	4.6	4.0	6.50	7.00	6.50	6.50
Argentina	4.4	2.5	4.0	31.5	31.9	15.5				
Colombia	2.6	2.5	2.9	5.1	6.5	4.6	11.25	9.25	11.25	10.25
Chile	2.5	1.6	2.9	3.4	4.3	3.2	4.50	4.50	4.50	5.00
Peru	3.4	3.5	4.4	1.5	4.4	2.6	4.25	4.25	4.25	4.25
Ecuador	3.7	3.2	2.7	1.9	2.4	2.3				
Uruguay	1.8	1.5	2.0	3.7	3.9	4.5	5.75	7.50	6.00	7.00
Costa Rica	4.6	3.7	3.9	-1.2	2.5	3.5	3.25	3.25	3.25	3.25
Dominican Republic	2.1	2.7	3.9	5.0	6.0	4.8	5.25	5.25	5.25	4.50
Panama	4.4	3.8	4.9	0.4	2.8	3.1				
El Salvador	3.9	3.1	3.2	0.9	2.4	1.8				
Guatemala	4.1	3.6	3.6	1.7	3.3	3.7	3.50	3.75	3.50	3.50
EEMEA										
Türkiye	3.7	2.8	4.9	34.9	31.2	26.6	37.00	38.00	37.00	30.00
Nigeria	3.9	4.2	4.0	23.0	14.0	12.0	26.50	27.00	21.00	16.00
Egypt	4.4	4.4	4.5	20.4	13.2	10.0	19.50	20.50	19.00	15.00
Poland	3.7	3.0	2.7	3.6	3.2	2.7	3.75	4.00	3.75	3.75
South Africa	1.1	1.3	1.6	3.2	4.0	3.7	7.00	6.75	7.25	6.25
Romania	0.6	0.4	2.7	7.3	8.3	3.8	6.50	6.50	6.50	5.50
Czech Republic	2.6	2.0	2.4	2.5	2.4	2.8	3.50	3.50	3.50	3.50
Israel	2.9	3.6	4.5	3.0	2.2	2.1	3.75	4.25	3.75	3.50
Hungary	0.4	1.2	2.5	4.4	2.5	3.0	6.25	6.50	5.50	4.50
Saudi Arabia	4.5	0.6	5.8	2.0	2.4	2.0	4.25	4.25	3.50	3.50
Ukraine	2.5	7.0	6.0	12.7	5.0	5.0	15.00	15.50	11.00	9.00

Note: *CPI forecasts are annual averages, except LatAm (end-of-period). **End of period.

Source: BofA Global Research

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Exhibit 30: Real GDP growth, qoq annualized %

Global GDP growth expected at 3.1% in 2026 and 3.4% in 2027

	4Q 25	1Q 26	2Q 26	3Q 26	4Q 26	1Q 27	2Q 27	3Q 27	4Q 27	2025	2026	2027
Developed Markets												
US	0.5	1.6	2.5	1.9	1.9	2.2	2.3	2.5	2.4	2.1	2.1	2.2
Euro area	0.8	0.6	0.4	0.6	1.3	1.4	1.4	1.3	1.1	1.5	0.7	1.2
Japan	0.8	2.1	0.4	0.4	0.8	0.7	0.4	0.8	0.8	1.1	0.6	0.6
UK	0.6	2.5	0.6	0.2	0.2	1.8	1.8	1.4	1.4	1.4	1.0	1.1
Canada	-1.0	-0.1	1.8	1.6	1.2	1.5	1.5	1.5	1.5	1.9	0.6	1.5
Australia	3.2	2.0	0.8	1.4	2.0	1.6	1.6	2.0	2.0	2.0	2.0	1.7
G6 Aggregate	0.7	1.3	1.4	1.2	1.5	1.7	1.7	1.8	1.7	1.7	1.4	1.6
Emerging Markets												
China	4.9	4.5	4.2	4.8	4.6	4.3	4.5	4.4	4.5	5.0	4.5	4.5
India	7.1	2.2	-0.3	18.2	8.6	4.0	1.9	16.0	7.5	7.5	6.2	7.5
Indonesia	6.3	5.7	4.3	4.1	6.2	5.3	6.6	3.2	7.0	5.1	5.2	5.4
South Korea	-1.1	6.9	1.5	2.0	2.0	2.7	1.8	1.7	0.7	1.0	3.1	2.0
Thailand	7.6	2.7	-4.4	1.7	8.1	2.9	0.7	-6.3	12.0	2.4	1.9	2.1
Singapore	5.2	-1.3	0.8	1.6	2.4	2.8	2.8	2.8	2.8	5.0	2.5	2.5
Hong Kong	4.1	2.2	4.6	-0.3	-1.8	5.8	4.2	2.1	2.1	3.5	2.3	2.5
Brazil	0.6	3.4	2.7	1.1	3.8	4.5	-2.6	4.1	2.1	2.3	2.3	2.0
Mexico	3.5	-3.2	2.5	1.6	1.4	1.6	1.7	1.0	1.0	0.8	0.8	1.5
Colombia	0.5	2.0	2.4	3.6	3.6	2.4	2.4	2.8	2.8	2.6	2.5	2.9
Chile	2.3	-0.5	4.2	3.6	3.6	2.4	2.4	2.4	2.4	2.5	1.6	2.9
Peru	1.5	3.6	2.4	4.9	4.9	4.1	4.5	4.5	4.5	3.4	3.5	4.4
Türkiye	4.9	3.4	1.3	4.5	1.1	7.9	5.2	4.5	3.1	3.7	2.8	4.9
South Africa	1.1	1.3	1.2	1.2	1.4	1.9	1.7	2.0	1.8	1.1	1.3	1.6

Source: BofA Global Research

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Monetary policy forecasts

Exhibit 31: Monthly forecasts

End of period

Central Banks	Current	Jun-26	Jul-26	Aug-26	Sep-26	Oct-26	Nov-26	Dec-26	Jan-27	Feb-27	Mar-27	Apr-27	May-27	Jun-27
Developed Markets														
Fed (upper bound)	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75
ECB (deposit rate)	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.25
BoJ	0.75	1.00	1.00	1.00	1.00	1.25	1.25	1.25	1.25	1.25	1.50	1.50	1.50	1.50
BoE	3.75	3.75	4.00	4.00	4.25	4.25	4.25	4.25	4.25	4.25	4.25	4.00	4.00	4.00
BoC	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25
Riksbank	1.75	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00
SNB	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Norges Bank	4.25	4.25	4.25	4.25	4.25	4.25	4.25	4.25	4.25	4.25	4.25	4.00	4.25	3.75
RBA	4.35	4.35	4.35	4.35	4.35	4.35	4.35	4.35	4.35	4.35	4.35	4.35	4.35	4.35
RBNZ	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.50	2.50	2.50	2.50	2.50
Emerging Asia														
China 7d reverse repo*	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40
India	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.50	5.50	5.75	5.75	5.75	5.75	5.75
South Korea	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.50
Taiwan	2.00	2.00	2.00	2.00	2.125	2.125	2.125	2.25	2.25	2.25	2.375	2.375	2.375	2.375
Thailand	1.00	1.00	1.00	1.00	1.00	1.00	1.00	0.75	0.75	0.75	0.75	0.75	0.75	0.75
Malaysia	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
Philippines	4.50	4.75	4.75	4.75	4.75	4.75	4.75	4.75	4.75	5.00	5.00	5.00	5.00	5.00
Latin America														
Brazil	14.50	14.25	14.25	14.00	13.75	13.75	13.50	13.25	13.00	13.00	12.75	12.50	12.50	12.50
Chile	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.75	4.75	4.75	5.00
Colombia	11.25	11.25	11.25	11.25	11.25	11.25	11.25	11.25	11.25	11.25	11.00	11.00	11.00	10.75
Mexico	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50
Peru	4.25	4.25	4.25	4.25	4.25	4.25	4.25	4.25	4.25	4.25	4.25	4.25	4.25	4.25
Emerging EMEA														
Czech Republic	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50
Hungary	6.25	6.00	5.75	5.75	5.75	5.75	5.75	5.50	5.5	5.5	5.25	5.25	5.25	5.00
Israel	3.75	4.00	4.00	4.00	4.00	4.00	3.75	3.75	3.75	3.75	3.50	3.50	3.50	3.50
Poland	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75
Romania	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50
South Africa	7.00	7.00	7.25	7.25	7.25	7.25	7.25	7.25	7.25	7.25	7.25	7.25	7.00	7.00
Türkiye	37.00	40.00	40.00	40.00	38.00	37.00	37.00	36.00	36.00	36.00	35.00	34.00	34.00	34.00

Note: *Major five banks.

Source: BofA Global Research, Bloomberg.

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FX, rates and commodity forecasts

Exhibit 32: Quarterly forecasts

End of period

	Spot	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27
FX forecasts								
G6								
EUR-USD	1.16	1.17	1.17	1.20	1.22	1.23	1.24	1.25
USD-JPY	160	159	154	152	150	148	146	145
EUR-JPY	186	186	180	182	183	182	181	181
GBP-USD	1.34	1.35	1.39	1.43	1.45	1.46	1.49	1.51
USD-CAD	1.39	1.38	1.37	1.36	1.35	1.35	1.35	1.35
AUD-USD	0.71	0.72	0.74	0.74	0.74	0.74	0.73	0.73
Asia								
USD-CNY	6.77	6.90	6.80	6.70	6.70	6.70	6.60	6.60
USD-INR	95.8	96.0	97.0	98.0	98.5	99.0	99.0	99.0
USD-IDR	18033	17800	17900	18000	18100	18200	18200	18200
USD-KRW	1542	1490	1440	1395	1380	1365	1350	1335
Latin America								
USD-BRL	5.06	5.00	5.00	4.95	4.90	4.85	4.80	4.75
USD-MXN	17.29	17.50	17.50	17.50	17.75	18.00	18.25	18.50
Emerging Europe								
EUR-PLN	4.24	4.23	4.21	4.17	4.15	4.15	4.15	4.15
USD-TRY	46.08	46.90	49.30	51.70	53.60	55.60	57.60	59.60
USD-ZAR	16.34	16.60	16.50	16.00	15.40	15.70	16.00	16.00
Rates forecasts								
2yr								
US 2-year	4.04	4.00	3.95	3.90	3.80	3.70	3.60	3.50
Germany 2-year	2.66	2.80	2.70	2.45	2.30	2.15		1.90
Japan 2-year	1.41	1.45	1.50	1.75	1.95	2.00	2.15	2.10
UK 2-year	4.33	4.60	4.40	4.25	4.05	3.90	3.80	3.70
Canada 2-year	2.81	2.75	2.75	2.75	2.80	2.90	3.00	3.00
10yr								
US 10-year	4.47	4.35	4.30	4.25	4.25	4.25	4.25	4.25
Germany 10-year	3.02	3.05	3.00	2.95	2.85	2.75		2.70
Japan 10-year	2.66	2.70	2.73	2.90	3.00	3.03	3.10	3.05
UK 10-year	4.90	5.00	5.00	5.00	4.85	4.75	4.60	4.50
Canada 10-year	3.44	3.50	3.60	3.65	3.70	3.75	3.75	3.75
Commodities forecasts								
WTI Crude Oil - \$/bbl	92.8	94.0	88.0	88.0	84.0	77.0	70.0	62.0
Brent Crude Oil - \$/bbl	95.1	103.0	95.0	94.0	89.0	82.0	75.0	67.0
Gold \$/oz	4450	4500	5250	5750	5200	5000	5000	4500
Copper, \$/mt	13932	13000	13500	14000	15000	15000	16000	16000
Copper, c/t	632	590	612	635	680	680	726	726

Note: Spot exchange rate as of day of publishing. The left of the currency pair is the denominator of the exchange rate. Currency forecasts are for end of period.

Source: BofA Global Research, Bloomberg.

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